

Investment treaties return on New Delhi's terms

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【メール原文】

India's cabinet will rush through a new BIT framework amid a drop in net FDI flows. Between 2016 and 2021, after losing a set of high-profile, expensive arbitration cases with foreign investors, India pulled out of over 70 BITs. No major economies signed up for a revised version of the treaty. A third version was accepted by the UAE and Israel in 2024-2025, with Saudi Arabia set to follow after concluding negotiations on 29 September. Faced with a sharp drop in net FDI flows and an erosion in the value of the rupee over the past year, Prime Minister Narendra Modi's cabinet will approve a fourth BIT template, probably in October or November.

India

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Geopolitics will drive acceptance of India's new but still flawed bilateral investment treaty template

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Short-term trajectory:

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After finding few takers for its previous bilateral investment treaty (BIT) template, India's cabinet will approve a new version in the next few weeks in the hopes of reversing declines in net FDI flows and the value of the rupee.

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The revised version is the basis of the BITs being negotiated in conjunction with FTAs with the EU and Canada, and is expected to serve as the template for similar agreements with the UK, Australia, and Switzerland.

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Though the new BIT still falls short of international standards, geopolitical considerations and investment guarantees embedded within the parallel FTAs will induce major economies to accept India's template.

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New template shortens path to arbitration but omits tax disputes and MFN protections. The primary change in the new template is that the original requirement that any dispute had to go through five years of domestic legal proceedings before turning to international arbitration will be reduced to one to two years. India will continue to place taxation disputes outside the ambit of the treaty—a major gap, as tax issues represent nearly a fifth of disputes between foreign investors and New Delhi. There is also no automatic most-favored-nation (MFN) clause, with India preferring to extend new concessions to other BITs on a case-by-case basis.

Geopolitical considerations will lead Western nations to accept the new treaty. Most governments still see the new Indian template as falling short of international standards. Nonetheless, they are likely to accept it, largely for geopolitical reasons. Canada, caught in an escalating trade war with the US, wants to show it has a variety of economic relationships with other parts of the world. While bilateral trade is relatively modest, the BIT holds particular significance because Canada is among the largest foreign institutional investors in India, with a cumulative stock of about \$100 billion.

Similarly, while the EU is one of India's largest trading partners, the FTA is expected to address the underdeveloped investment and supply chain relationship. Brussels calls the FTA with India a "geopolitical balancer," part of a web of similar agreements designed to buffer against the fraying WTO system and the predatory trade policies of the US and China.

India has effectively made the FTA an alternative vehicle for investor protection. New Delhi has incorporated a number of BIT provisions in recent FTAs. At least three other countries, the UK, Australia, and Switzerland, which have already signed FTAs with India, will also sign BITs that will largely track the ones in process with Canada and the EU. The new FTAs include well-defined arbitration mechanisms with rules and procedures. They have safeguards against expropriation and guarantees on easy profit repatriation. Special clauses also cover portfolio investments and other financial activities.

Having investment guarantees embedded in the FTAs is also politically useful for the Modi government, as it will defuse criticism of the original decision to scrap the BITs a decade ago. Because each of the BITs will be tailored somewhat, India will also make the claim that it is exercising sovereignty in its negotiations.

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